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Solution

In the books of Shanthi Furniture Mart

Purchases book / Purchases journal

Date	Particulars	Invoice No.	L.F.	Amount `	
				Details	Total
2017	**Mohan Furniture Mart, Madurai**				
March 1	20chairs@ `450 each			9,000	
	2 tables@ ` 1,000 each			2,000	
				11,000	
	Less: Trade discount @ 10%			1,100	9,900
March 7	**Ramesh & Co., Royapettah**				
	2 stools @ ` 500 each			1,000	
	10 rolling chairs @ ` 200 each			2,000	
				3,000	
	Add: Delivery charges and cartage			150	3,150
March 21	**Kamal & Co., Karaikal**				
	10 chairs @ ` 750 each			7,500	
	15 steel cabinets @ ` 1,500 each			22,500	
				30,000	
	Less: Trade discount @ 10%			3,000	
				27,000	
	Add: Packing and delivery charges			250	27,250
	Purchases A/c Dr.				**40,300**

Tutorial note

1. Trade discount is allowed on the purchase price of goods excluding delivery charges and cartage.
2. Delivery charges and cartage are direct expenses, chargeable from purchaser, so they are added to the amount payable.



Student activity

Think: Why the purchase of typewriter is not recorded? How do you record this transaction?